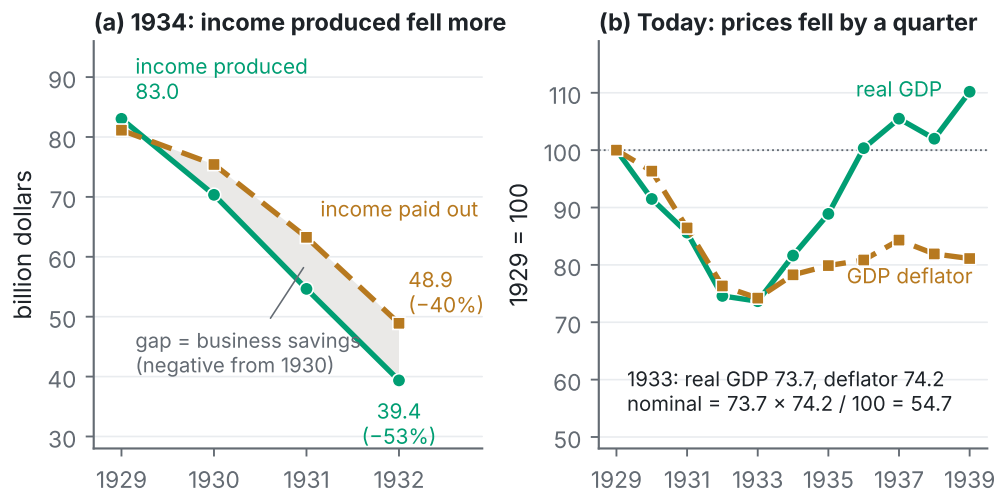
(a) 1934: income produced fell more
billion dollars
90
80
70
60
50
40
30
income produced
83.0
income paid out
48.9
(−40%)
gap = business savings
(negative from 1930)
39.4
(−53%)
1929
1930
1931
1932
(b) Today: prices fell by a quarter
1929 = 100
110
100
90
80
70
60
50
real GDP
GDP deflator
1933: real GDP 73.7, deflator 74.2
nominal = 73.7 × 74.2 / 100 = 54.7
1929
1931
1933
1935
1937
1939